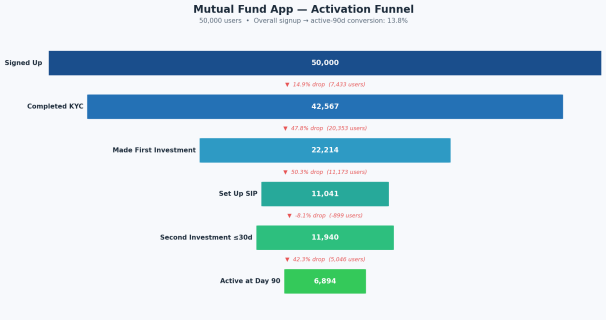
Funnel, Retention & Re-engagement

Mutual Fund App · 50,000 users · 18-month cohort analysis

SIGNUP → ACTIVE 90D	KYC COMPLETION	KYC → 1ST INVESTMEN	INVESTORS DORMANT	CHAMPIONS (RFM)
13.8%	85.1%	52.2%	39.8%	24.2%

1 — Activation Funnel: Where Users Are Falling Out



The funnel shows a healthy top — 85% KYC completion is strong for a financial app. The problem is what happens after.

- **KYC → First Investment: 47.8% drop.** This is the biggest single loss in the funnel — 20,353 users completed identity verification and then did nothing. These are not disengaged people; they cleared a high-friction step. They just needed one more push.
- **First Investment → SIP Setup: 50.3% drop.** Half of all investors make a single investment and never set up a recurring one. SIP is the LTV driver — a user without a SIP is roughly 3x more likely to churn within 90 days.
- **Stage 5 anomaly: Second Investment shows +8.1% vs SIP Setup.** More users made a second investment within 30 days than set up an SIP. This confirms a meaningful cohort prefers ad-hoc lumpsum investing — a product gap we're currently not designing for.
- **Overall: only 13.8%** of all sign-ups are still active at Day 90. Industry benchmarks for fintech apps sit at 15–22%. We are below the floor.

Figure 1: Activation funnel — 50,000 users across 6 stages.

2 — Cohort Retention: What the 90-Day Heatmap Tells Us

- **Week 1 is the make-or-break window.** Average Week-1 retention is 19% across all cohorts — the highest of any week. Users who invest in Week 1 are significantly more likely to still be active at Week 12. Everything before the first investment is acquisition; Week 1 is where habit formation begins.
- **The Week 3–4 cliff is brutal.** Retention drops from ~16% at Week 2 to ~5% by Week 4. This 3-week window is when most users who will churn, churn. We currently have no in-product intervention here.
- **Weeks 5–6 show a secondary pulse (~10–12%).** This is almost certainly SIP installment behaviour — monthly recurring investments auto-triggering app opens. It confirms SIP users are structurally more retentive. The implication: every percentage point increase in SIP setup rate (currently 49.7%) directly improves long-term retention curves.
- **Best cohort: Oct/Nov 2024 (Week-12 retention: 6.3%).** These early adopters likely had higher intent — they found the product before any growth campaigns. **Worst: Mar 2026 (0.0%).** Too recent to have reached Week 12, but the early-week pattern is already weaker, suggesting paid acquisition quality may be declining.
- **Channel note — paid_social converts worst at 43.5%.** Paid social brings users with lower declared intent. These cohorts may also explain the weaker recent-month patterns as paid spend has likely scaled up.

3 — Three Dormant Personas: Who They Are & Why They Went Quiet

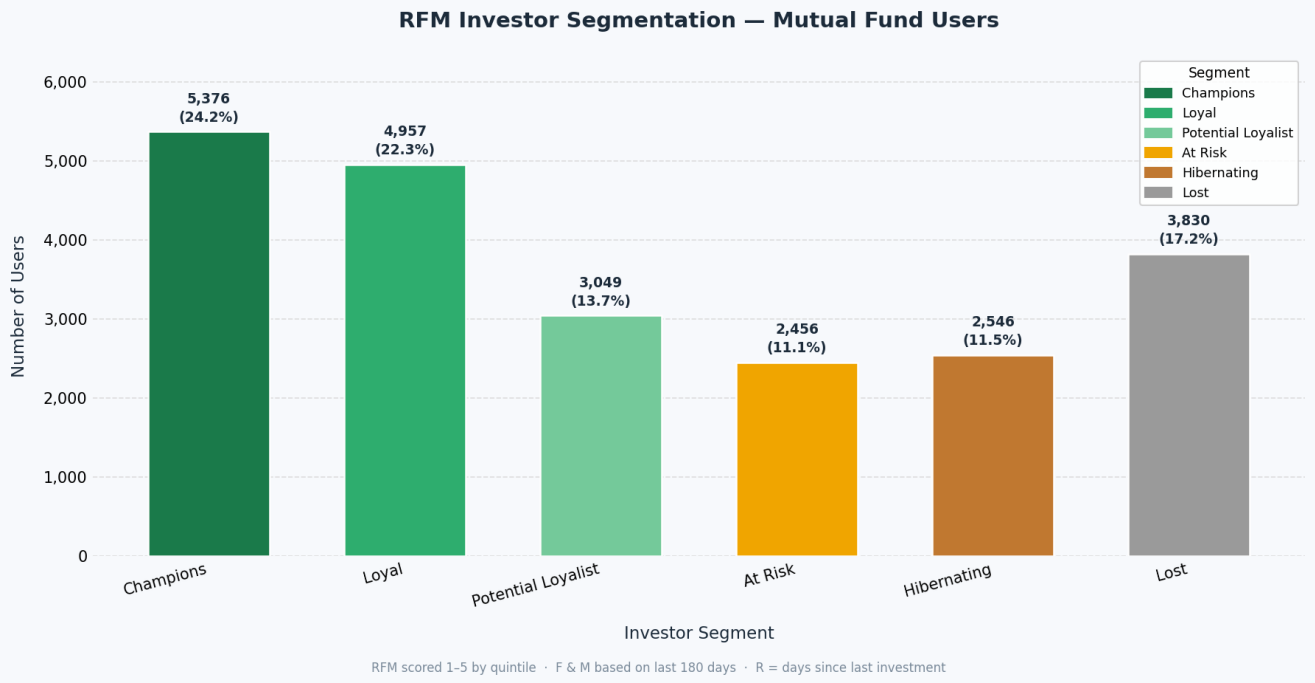


Figure 2: RFM segmentation — 22,214 investors across 6 behavioural segments.

The Momentum Investor

Segment: At Risk · 2,456 users · Avg last investment: 83 days ago

Profile: Active, high-value investors who were on a roll. Avg 3.1 investment events in the last 180 days and Rs.67K deployed. They are not disengaged by preference — something interrupted the habit.

Typical behaviour:

– Multiple investment types (lumpsum + SIP installments)

– Higher-than-average ticket sizes — likely equity/ELSS exposure

– Went quiet abruptly, not gradually — a specific trigger likely caused dropout

Why they went quiet: Most probable causes: market volatility shook confidence, a life event absorbed financial bandwidth, or a competitor app offered a better UX at the moment they wanted to reinvest. This persona is not lost — they just need the right nudge at the right moment.

The One-Time Experimenter

Segment: Hibernating · 2,546 users · Avg last investment: 113 days ago

Profile: Made a real financial commitment (avg Rs.34K invested) but never built a rhythm. Low frequency (1.1 events/180d) indicates they invested once or twice and stopped exploring.

Typical behaviour:

– Likely a single lumpsum or one SIP setup that was never followed up

– Probably browsed more features than they used

– KYC was completed — intent was real, but the habit loop never formed

Why they went quiet: Classic onboarding failure: the product never showed them what to do next after their first investment. No goal-setting, no progress visualisation, no prompt to expand into a second fund category. They achieved 'I invested' and closed the app.

The Lapsed Signee *Segment: Lost · 3,830 users · Avg last investment: 239 days ago*	**Profile:** Completed KYC, made minimal investments (avg 0.4 events, Rs.10K), and disappeared. The largest dormant group by count. Low monetary value suggests low conviction from the start. **Typical behaviour:** – Possibly invested the minimum to 'try' the platform – Very short active window — most likely dropped within 30 days of first investment – Unlikely to have set up a SIP at any point **Why they went quiet:** This cohort was probably acquired through paid social (our worst converting channel). They came in with low intent, hit friction during onboarding, or didn't find a fund that felt relevant to their financial situation. Win-back probability is low; prevention is the better strategy.

4 — Three Re-engagement Features: One Per Persona

Feature 1 **Market Moment Alert → For the Momentum Investor (At Risk)**	**What it does:** A personalised push notification triggered when a fund the user previously invested in moves more than 2% in either direction. The notification surfaces the user's current P&L; on that fund and a one-tap 'Top up now' CTA that lands directly on the investment screen — zero navigation friction. **Metric it improves:** Reactivation rate of At Risk users within 14 days of trigger. **A/B test:** Split the 2,456 At-Risk users 50/50. Control gets no notification. Treatment gets the market-moment alert when their held fund moves +/-2%. Run for 30 days. **Success criterion:** Treatment reactivation rate > control by at least 8 percentage points (MDE). Watch for: notification opt-out rate — if it spikes, the threshold is too aggressive.
Feature 2 **Goal Milestone Card → For the One-Time Experimenter (Hibernating)**	**What it does:** A contextual card shown on the home screen 7 days after the user's last investment, visualising how much their money has grown and projecting the 5-year value if they added just Rs.500/month. Includes a single CTA: 'Start a Rs.500 SIP — takes 30 seconds.' The low anchor amount is intentional — it removes the cognitive barrier of committing a large sum. **Metric it improves:** SIP setup rate among Hibernating users within 21 days of card impression. **A/B test:** Divide the 2,546 Hibernating users into three groups: (A) no card, (B) card with Rs.500 anchor, (C) card with Rs.2,500 anchor. Run for 21 days. **Success criterion:** SIP setup rate for B > A by 5+ pp. The A vs C comparison tells you whether the low-anchor messaging specifically drives conversion, or just the card itself.

Feature 3 **Winback Email → For the Lapsed Signee (Lost)**	**What it does:** A single plain-text email (not a designed marketing blast) sent at a genuine market milestone — e.g., index crossing a round number or a calendar moment like financial year-end. Subject line: 'Your Rs.[X] in [Fund] has changed.' Body shows actual portfolio value, a one-line market context, and a deep link to the app. No discount, no pressure. Treated as a service communication, not a promotional one. **Metric it improves:** App open rate from email + 7-day investment event rate. **A/B test:** Split Lost users: (A) no email, (B) plain-text winback. Send only once. **Success criterion:** App open rate > 8% (standard re-engagement email benchmark for fintech is 6–10%). Investment event within 7 days as secondary metric. Key guardrail: unsubscribe rate — if >5%, the Lost segment should be moved to a 90-day blackout list to protect sender reputation.

Analysis based on synthetic cohort data generated for the mutualfund-cohort project. All user counts, conversion rates, and RFM scores are derived from simulated data using seed(42) for reproducibility. Statistical significance thresholds assume alpha=0.05, two-tailed.